How a Sardine Gets From the Ocean to a Can

Podcast: Odd lots

AI Executive Summary

Core Thesis The episode explores the transformation of canned fish from a declining, commodity-grade food category into a premium sector driven by high-quality sourcing and robust supply chain management in response to global shortages (specifically Morocco's sardine ban) and environmental pressures. Through an interview with Fish Wife founder Becca Milstein, the conversation details how niche DTC brands can disrupt traditional manufacturing landscapes, secure long-term shelf stability through specialized curing methods like salt-curing anchovies versus heat-treated cans, and navigate complex trade barriers (tariffs) while meeting surging consumer demand for sustainable seafood.

Key Arguments & Data * **Market Disruption:** Canned fish was a flat or declining category in the US pre-COVID; Fish Wife saw a 10% year-over-year growth increase during the pandemic, driven by health trends and increased consumption of ready-to-eat food at home (inspired by Alison Roman/Antony Bourdain/David Chang). * **Supply Chain Variance:** American canneries shut down roughly 15 years ago due to stringent FDA rules; European supply chains are concentrated in family-owned, multi-generational facilities. Santoniannys use the "perceĆ±o" method (large net), while Fish Wife uses salt-curing for anchovies which takes 12-36 months and results in a unique flavor profile but shorter shelf life (~5 to 7 years) compared to other heat-treated products. * **Sourcing & The Morocco Ban:** While Morocco imposes an export ban on frozen sardines citing overfishing/plankton shortages (caused by warmer Mid-Atlantic waters), Fish Wife sources primarily from MSC-certified Cornish and Iberian fisheries, avoiding direct conflict with the Moroccan raw material shortage. However, global scarcity still impacted US shelves; Fish Wife saw Sardine sales velocity increase 2x to 5x in December of last year compared to previous months. * **Tariffs & Trade Costs:** A new EU import tariff (15%) was mentioned as being put into place by April 2025, impacting gross margins significantly ($7M total costs refunded). US tariffs on tuna packed in olive oil remain at 35% without stacking. The "Cold Start" problem for startups is mitigated here via flexible MOQs with small canneries (up to $12k-20k units vs standard 50k+), but scaling supply chain V2 requires

managing volume requests tripling or quadruple year-over-year against limited capacity at partner factories. * **Consumer Behavior:** There is evidence of "trading up" during inflation; consumers are willing to pay premium for quality over commoditized options. The Moroccan ban has created a diplomatic issue between Morocco and Spain regarding supply chains, affecting consumer access regardless of certification status.

Actionable Takeaways * **Prioritize Sustainability Certification:** When purchasing seafood, look for MSC (Marine Stewardship Council) certifications as the industry standard to ensure well-regulated fisheries rather than just relying on catch reports which can be nuanced and shifting due to climate change. * **Understand Supply Chain Risks:** Be aware that global manufacturing is hollowing out in favor of Asia/Vietnam/Thailand; reliance on European imports now faces tariff risks (e.g., the 20% EU import duty) that impact margins, suggesting a need for diversification beyond single-country dependencies. * **Value "Trading Up" as Strategy:** For businesses or consumers looking at premium food inflation strategies, focus on quality and health benefits rather than just price reduction; Fish Wife succeeded by positioning sardines not just as cheap protein but as high-quality Mediterranean tapas culture staples (e.g., Fly By Jing collaboration). * **Consider Supply Chain Lead Times:** In long-lead industries like seafood curing or manufacturing, maintain demand planning flexibility. The transcript notes that while anchovy shelf life is short due to sensitivity without heat treatment, other tinned products can be held for 5+ years; however, air-freighting inventory during shortage periods will compress margins but capture volume growth. * **Monitor Global Plankton & Water Data:** When assessing seafood shortages (like the sardine ban), consider environmental factors such as water temperature changes and plankton density rather than assuming overfishing is always the culprit; consumer awareness should extend to climate-induced migration of forage fish schools.

Full Transcript

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You love fish. You love seafood, right? That's where you were going, right? That's exactly it. All right. Famously, some people, some long-term odd-lots listeners will have heard this story before. But the first time Joe ever invited me over to his house, he asked if I had any dietary restrictions. And I said something like, I eat everything, but I'm not a big fish person. And then I went over to his house and was promptly served poke bowls. Yeah. Sorry about that. It's all right. They're actually really good. And I do eat fish on occasion. I'm just not that big into it. Like I eat crab cakes, oysters. I just have to be in the right mood for fish. I get it. I get it. One thing I have never eaten, though, is sardines. Oh, yeah. I've had sardines. I like them. Yeah. I don't know if I have like a straw. Do you just like take them out of the can and just stick them in your mouth like that? Yeah. I think I have or like I'll put them in like a salad or something like that.

Yeah, okay. Yeah, she's her salad with sardines or anchovies. But I've definitely taken sardines and just taken one out of a can and eaten it, for sure. Okay, well, I personally don't eat fish. That's not your thing. Don't eat a lot of fish because of the taste, but it turns out it's becoming a pretty convenient just taste to have because we are now facing a sardine shortage. When we talk about tinned fish... It intersects with a bunch of interesting things that we talk about all the time or that come up. So it's like global supply chains generally. I think, you know, I've said this a couple of times

on the podcast, but one factoid that I very remember from our trip to Alaska is how much fish is caught off the shores of Alaska. It's sold in the United States, but first it takes a detour to China. That's right. So even if you buy US caught Alaskan salmon, the chances are it's probably been processed through China. Yeah, I find that to be really interesting. I find the sort of marketing of fish and the sort of branding because one thing that we know about tin fish, especially over the last five years is there's a whole like new demographic that doesn't just associate it with like the cheap, sun kissed, or no, star kissed tuna or whatever that brand was. Either the sort of low end tuna, there's sort of emerged this like high end premium version of canned tuna, which I really like canned tuna that's emerged. So there are all these sort of like different market things not to and then you mentioned climate and some of the questions about, you know, supply and fish stocks, etc. There are many different intersecting stories of the canned fish.

Yeah. And the big news right now is that Morocco, which apparently exports something like 50% of the world's sardine supply, has imposed a ban on sardine exports because of, again, citing reports overfishing. Apparently there's not enough plankton either to feed the little sardines Which is sad because it means that penguins also don't penguins not in Morocco Yeah, but penguins elsewhere in the world also don't have enough to eat. So we're gonna talk about all these things We're gonna talk about what's actually going on with the world sardine supply where sardines come from where fish in general comes from how it gets processed What makes a good tinned fish versus a bad tinned fish and I'm happy to say We do, in fact, have the perfect guest. We're going to be speaking with Becca Milstein. She is the founder and CEO of Fish Wife, which of course specializes in exactly that, Tin Fish. And Becca, thank you so much for coming on Odd Lots. I have to say, when I finally eat my first sardine, I think it will be a Fish Wife sardine. I can't wait for that day, Tracy. I truly can't.

Thank you so much for having me. The packaging has got me. The packaging got me. It's very good graphic. That was definitely a big focus when I started working on the brand. You got to kind of do a bait and switch. There are a lot of people out there. Are there going to be fish puns in this conversation? I mean, as many as you'll allow. But yeah, we had to

really counter position from what Americans associated with canned fish, which as you probably know was, you know, white and blue, super commodity, non-branded canned fish. So obviously what the hard left, all hand illustrated, super beautiful branding. And we still have our illustrator, you know, on staff creating new illustrations for us every single day.

So tell us about the origins of fish wife that you just touched on it there But the idea was to kind of make a premium tin fish product that would maybe make Americans think a little bit more like in Europe right in Europe tin sardines are like a nice thing to have I remember my mom getting very excited about that. Yeah, so I I'm from New Hampshire originally I studied abroad and Southern Spain College in a city called Granada and Granada is a very interesting city. It's beautiful. Have you been there? I have, yeah. I've had some of the best hemoan of my life in Granada and cheese. Oh my gosh. They really know how to do it. The interesting thing about Granada is that to my knowledge, it is still the only city in Spain that serves free tapas with every drink. So if you get like a little glass of beer, a little glass of wine, they will bring you out whether it's, you know, on the very low end, potato chips on the very high end, like sardines, olives, hemoan. You're just always being fed beautiful little bites.

And I was super inspired experiencing that and just seeing how delicious these little snacks were because, you know, they're super simple, no cooking involved, but the ingredients were of such a high quality that it just tasted so, so get no matter really what button little bar I was at. So between that and seeing the way that Spaniards eat and, you know, really just treasure the high quality of their, their food products. And then traveling to Portugal, which is like where everyone has their conservatory experience. And it's certainly where I had mine. And Elizabeth, you know, seeing these beautiful shops with rows and rows of gorgeous tinned fish, like it could not have been more different than my market basket in southern New Hampshire. And I, at the time, certainly, you know, at age 20, wasn't like, I'm going to do this for the rest of my life.

But during the COVID-19 pandemic, I started eating more canned fish. It's really, really good for you. It's ready to eat straight out of the tin. It's still stable. You know, when we were all trying to not go to the grocery store as

much as possible. And there was sort of a light bulb moment, you know, seeing, I know you had Alison Roman on this podcast, seeing folks like Alison Roman and Anthony Bourdain and David Chang, like they had all been espousing. how incredible, especially, you know, really high quality anchovies or really high quality cantuna. It was like in the ether and I was starting to see in my own peer group, you know, people posting pictures of like little meals they were creating at home with thin fish, which is fascinating because I really feel like before COVID, that was not a habitual thing for people to do, like make a beautiful lunch and post about it on Instagram. So weird. And obviously now it's completely becky. So.

All of those factors combined added with the bump. I think the canned fish category saw like a 10% year rear increase during the COVID-19 pandemic, which is crazy. It has not been like that since broadly. And I was like, Americans deserve a better product when they think they'll be willing to pay for it. So that was really the origin of the company. So there's sort of like two different strains. I'm interested in this conversation. I want to make sure you touch on both. So that's sort of the brand origin. We'll talk more about brand and marketing. Now tell us, and we'll get into it more, but give us the basic supply chain that you have right now of the short version of where a fish is caught and the steps it takes until I get it in my kitchen. Give us the overall sequence. Totally. I'll give you the most simple straightforward version first, which is because...

The thing that you'll learn throughout this conversation is that every seafood supply chain and canned seafood supply chain is completely different and very strange. So the first I'll give an example of is our cantabrian anchovies. So we source our anchovies from a tiny town in northern Spain called Santonia. And if you go to this town, Santonia, you will be blown away because it is completely occupied by anchovy canneries. Like that is the town. you walk through this, this tiny city and it's like every anchovy candy anchovy brand you've ever heard of their logo like plastered on a big warehouse. So in that case, the fishermen are going out like six miles from shore. They're using the percene method of fishing, which is it basically is like a big, big wide net that's cast out into the top sort of the top of the ocean. It encircles the school of fish. And then the net is sort of pulled together.

and the fish were brought out of the water and then immediately put on ice. And then they're brought, you know, six miles into shore and they're taken to the anchovy auction and they're marked with a number that indicates the quality of the anchovy. So that's like the size of the anchovy has it been damaged, the fattiness of the anchovy, it's marked with that quality signifier. And then the vids begin. In this case, the There's usually one or two folks from each cannery. And keep in mind, these canneries are by and large, maybe all multi-generational family owned. So the cannery that we work with was started in the 1940s by a man who now has had three generation of offspring that have taken over his business and have grown and expanded his business. So anyway, today, the grandson of this man goes to the anchovy auction.

and you will have a price in mind to bid on these anchovies and he'll go buy a bunch of anchovies. And those anchovies will be taken mere three blocks away from where that auction is happening. And they'll be immediately processed, which in this case means, I mean, I'm going deep in the processing. That's great. Yeah, it's great. So that means that the anchovies will be... basically headed and tailed. So their heads will be clipped, their tails will be clipped, and then they will be put into a barrel of rock salt in layers. And they'll be left there for anywhere between 12 to 36 months. And actually the longer they're in there, the higher quality they are. That being said, three years is a very, very, very long time. So it's a really, really expensive product in a pretty limited market.

our anchovies are on average held in there from 12 to 18 months. And during that time, they're cured and they develop all that beautiful flavor that we associate with anchovies. And then I'm going to keep going. At the end of that 12 to 18 month period, they're removed from that bucket of rock salt and their skin is removed. And basically like the beautiful little pink anchovy that we all know and love. emerges from what otherwise looks like a pretty normal little silver fish like honestly when you when you see an anchovy for the first time like a lot of people think they're sardines because they are these like substantial long silver fish they're cleaned that lovely little pink anchovy is removed and then laid one at a time in the tin that you you know you see when you buy a fish away anchovy product They're cleaned extensively. They're rinsed and washed. And then those cancer are

filled with extra virgin olive oil in our case. And they're steamed. And then anchovies are very unique because unlike the rest of our tinfish products, they are cured through that salt curing method. So they're not actually heat treated, which makes them a dramatically more sensitive product and a much...

shorter shelf life product than the rest of our tins. So the rest of our tins have an average of between a five to seven year shelf life, which I think you can imagine is like truly incredible to have as a food business owner. And like they're very, very few products with that shelf life. And Chobe's only have about a year long shelf life because that's all caring method. And they can't be exposed to heat because they'll disintegrate. So that's like the simplest supply chain and how concentrated it is. That being said, anchovies as an actual product are by far, far and away are most complex to store and manage and ship. So you didn't have any prior fish experience before you started this company, right? I did not. No, I had been in the working world for about four years in the entertainment industry before starting the business.

So listening to describe the fish supply chain in a place like Spain, it sounds very familial and sort of close-knit and probably hard to break into. Like, I imagine you can't just go and find a fisherman and be like, hey, you want to be our supplier? How did you actually manage to source these particular people and start building up those relationships? That's sort of the interesting crux of the story is... In CPG, in emerging brand CPG, it's very well known that quote-unquote getting line time or getting a co-man, co-manufacturer to work with you is very challenging because who knows if we're going to be around in a couple years. Your product probably has a bunch of weird, better for you ingredients that the co-mans don't want to deal with. They would much rather work with much, much bigger companies that they can rely on to produce massive batches of whatever product they're working on.

This case is a bit interesting because when I started the business, I was reaching out to, you know, mostly co-manufacturers, suppliers, et cetera, in America. And first and foremost, everyone was like, why are you trying to start a canned fish business? Like the canned fish industry is declining.

Why don't you do pouches? The pouch industry is booming. And I was like, that's really not the vibe I'm going for guys. Honestly, it doesn't really capture the European romantic aesthetic. So that was definitely at play. It wasn't like trying to think of another industry. I don't know, beverage. Beverage is always, you know, kind of going up into the right. It wasn't like I had a bunch of other young entrepreneurs that I was competing with for this line time. And it wasn't like the category was, yeah, off like a shot. It was it was flat or in decline. So I think when we reached out to these European canneries, which I started doing, you know, started with the American manufacturers I can get in touch with and then very quickly start reaching out to manufacturers in Spain and Portugal. There is this, you know, America is the biggest market in the world. Establishing a market in a foreign country is, you know, near to impossible because of all of the marketing and brand building work you have to do. That being said, it's this incredibly attractive market. There's, you know, very, very affluent, really high paying customers. So I think When we reached out to these canneries, they must have seen that. They must have seen, okay, here is someone who's going to work really hard to try to build a market for this really premium product in America. And we don't then have to go do that work because, again, nearly impossible to accomplish. And we have a capacity. These canneries, they are mostly not operating at three shifts a day, seven days a week. Maybe they're operating at you know, one or two shifts a day for five days a week. So there was some capacity at all of these canaries that we reached out to. I think the crazy part for them is seeing how quickly an American business can grow. Because, you know, as mentioned, these businesses have been around for generations, they're family owned, they're not venture backed, they're not looking to, you know, scale in a few years and exit like the way that we think about business in the US is just so different from how these businesses are conceiving of their own. Like if they have 5% year-over-year growth, that's amazing. It's fine. In some cases, I don't want to generalize, but like they are certainly not trying to grow up too much or 50% year-over-year. So I think, you know, Fishwife has been around for five and a half years now.

The demand has been revealed for these products and I think watching these partners, they maybe have been fine with 5% year-over-year growth and seeing Fish Wife's volume requests triple quadruple year-over-year. It's

like hard for them to wrap their heads around. Got a business problem? There's a TED Talk for that. Stay updated on everything business on TED Business, a podcast hosted by Columbia Business School Professor MaudupĆ© Acanola. Every week, she'll introduce you to leaders with unique insights on work, answering questions like, how do four-day work weeks work? Do will a machine ever take my job? Get some surprising answers on TED Business wherever you listen to podcasts. So I take it you had a few different structural opportunities because

Okay, at that point, the sort of like premium cans were not really a category yet. The existing canneries actually did have some slack, so there wasn't an intense competition to get in there. But just sort of like basically, how did you, just from a business wise perspective, solve that, you still have a cold start problem. You have like no customers on day one, etc. you have to like get some capacity. You don't really know what end demand is going to look like. I guess you as they say in the startup world like the zero to one question, even if it was a little easier than maybe other DTC categories, what was the actual process of going to like, I've got to place an order and sell it and like the commitments that you had to make to make place that order. Yeah, that's a great question. So our zero to one year was 2021. And it had a distinct supply chain from the one that we have today for the most part. So as I mentioned, when I started working on the business, I was looking and open to build a supply chain both in North America and in Europe. So in the first year of the business, I started working with the first cannery we ever worked with was a tiny micro cannery in Oregon on the coast of Oregon. This is mostly servicing sports fishermen from, you know, the West Coast, whether in California up to Washington. So like we're not talking MOQs here. This is people coming in, bringing their catch and saying, hey, make me, you know, 500 cans of tuna. So that was the first cannery. Then we started working with one in Washington state, which was very similar profile micro cannery, super hands-on, no MOQ. And to be honest, this cannery- What's MOQs stand for? Minimum order quantity. Oh, great. Thank you. So yeah, speaking to the issues I mentioned earlier, a huge issue that startups face is I want to start a beverage company. You need to make 50,000 units of your sparkling water grant on your first run before you have any demand before anyone knows who the heck you are. So all in all, we didn't have an MOQ issue. We certainly didn't have it in the

domestic canaries because they are so, so small. And then when we started working with our first canary in Spain, which we still work with today, we still work with the canary in Washington state, that MOQ was still on this smaller side. I think it was maybe 20,000 units, I think. So I think I ordered 20,000 units of our sardines with preserved lemon, and it lasted us maybe the entire year. But it was super messy. Like I had no idea what I was doing. I mean, demand planning, it was probably the worst thing.

I am Matt in the entire company. So, so we like in the Oregon Canary, we went out of stock unexpectedly. We were out of stock of two products for three months. Like that is what the zero to one year looked like. It was stops, stop starts, et cetera. But all the while, even with those stops and starts and even with that very small amount of inventory, I was really able to build the brand that year. Like we still got a lot of. Press coverage was still about a lot of influencer coverage and was able to build the bread even though the supply chain has since transformed significantly. Well, that was going to be my next question. So as your business has scaled up and from the numbers you were suggesting earlier, it sounds like it's grown very, very quickly. Has securing product become easier for you? It's become easier and harder. It's become easier because now.

We have 18 employees at the company, and they're a lot better at securing product than I was by myself. So that part, internal resourcing has become a lot easier. And then, you know, we did this big supply chain transformation in 2023 where we were really looking to go from that supply chain V1 that I described to you, to supply chain V2, that, you know, the goal was this supply chain V2 could see us through essentially unlimited scale in the American market. So we were looking for canaries that could produce 80 million cans a year, 100 million cans a year. So that was a transformation we went through. And by and large, we have been able to scale enormously and very, very quickly in the grand scheme of things. That being said, I think the Sardine situation is a really good example. We have seen our demand for that product go through the roof, essentially, exponentially. And that unpredictable demand that we are sometimes faced with, which we can go into in a minute, if we want to take into the Sardine situation.

that is when we're presented with just challenges because those things can happen so quickly. And this is not a super fast lead time supply chain. We're trying to tell our canaries what we need a year ahead, then six months ahead, then three months ahead, placing the PO so they can really secure the raw material that we need to produce the product that we need. So I think that's the tricky part of being a high growth brand in a long lead. industry, you just never know what the growth is going to look like in a year. Well, I'm glad you got to the sardine part, because there was one thing that I meant to say in the intro. One other thing that piqued my interest in this whole story is that on Instagram, because I haven't really messed up Instagram feed and algorithm, on Instagram, I get served a lot of B2B ads for Chinese Sardine manufacturing facilities, who on the ad itself say, are you dealing with the Moroccan Sardine shortage? Source your canned Sardines from China, et cetera, which I thought was like really fascinating to me. Talk about so you're like getting to like, okay, you 80, 100 million units. You know, up until again, five years ago, this was not a high growth category.

For years and years, you have the emergence of these very inexpensive canneries in China, but also I believe Vietnam and Thailand and elsewhere. Prior to companies like you entering the market, was there sort of this shrinking of the industrial capacity in the types of places that you want to source from? in say Europe or maybe you know parts of the US that was shrinking due to this sort of global deindustrialization phenomenon and has that contributed to today now that it is a high growth category or at least for you it's a category that they're you know that's constricted that it's constrained because of the sort of years of like hollowing out from global competition. Yeah I mean I think it's the same stories as like all American manufacturing stories there were ones.

booming canneries on either coast of the U.S., California, probably red cannery row or on the coast of Maine, there were these bigger, more industrial canneries. And a combination of factors contributed to those shutting down. Basically like most canneries in the U.S. shut down like 15 years ago. Today there are, this is an estimate, but I would say like five-ish in the lower 48 and then probably several more in Alaska. Alaska is where you would find some of the bigger, more industrial canneries that are doing

like commodity alaskan, can salmon, et cetera. But yeah, I think do a combination of factors. I know that there were really stringent FDA rules or put in place about 15 years ago that a lot of the canneries in the US couldn't upkeep, couldn't manage. Some of the fisheries really declined. So the Pacific Sardine and anchovy fisheries there have been moments of real decline on on both the the east and west coasts and with the decline of those fisheries and the shutting down of those fisheries the canneries followed because obviously and then having this very cheap processing available in various parts of asia so much of the processing moved over there like you were saying with the alaskan processing that that you see in china so it's a it's a common story and it definitely is is what happened in the us Sorry, just to be clear, the Moroccan sardine situation, it's not that you can't can sardines in Morocco. It's that's where the sardines themselves are caught and then exported to the canning places in, it seems, mostly Spain and maybe Portugal. Is that right? That is that is correct. There are certainly canneries and cannery infrastructure in Morocco, but so much of the of the raw material from the Moroccan sardine fishery was being exported to Spain. I think it was like 90% of the raw material in Spanish canneries of sardines was coming from Morocco. So no, they have the canning infrastructure. And I think what we're seeing here is that they are preserving the raw material for their own exports because the ban is just on...

frozen sardine exports, not canned sardine exports. So Morocco is protecting its raw material and is able to maintain its industry. It's very meaningful, large industry of exporting canned sardines. So has that affected fishwife personally, I guess? It has, but not in the ways you would necessarily suspect because we have never sourced from the Moroccan sardine fishery. We have been sourcing from the Cornish sardine fishery for about five years, that at the time that we started selling sardines, Cornish, so Cornall England. It was the only MSC, Marine Stewardship Council certified sustainable fishery in Europe at the time. Then MSC is the most globally recognized certifying body for wild fisheries. It's the one that Fishwife goes by. So we were sourcing from this Cornish sardine fishery.

And then the Iberian Sardine fishery was actually MSC certified, I believe, last year. And so we started sourcing from that fishery as well, which is really exciting. So we're sourcing from these two MSC certified fisheries,

now the only certified sustainable sardine fisheries in Europe. So we weren't affected in terms of our raw material supply being impacted. That being said, with so much inventory disappearing from the market, We saw our Sardine sales starting and I would say December of last year like start to go cuckoo bananas I think it was kind of first two to three X the velocities that we Had been seeing before and it has sustained and gone even up to you know four or five X which is Massive so you know getting calls from buyers that our retailers saying hey like my Sardine shelf was completely wiped out. Can you step up and step in and supplies with sardines? And I remember having this conversation with my head of sales. It was like, we can do it. We're going to have to air freight the product in order to get it there in time. We usually try to send things by quote unquote, slow ship, which is the most economical.

also the most environmentally sustainable. And, you know, we had to make the hard decision of like, okay, are we okay with our gross margin being compressed by these airshipments? As you can imagine, they are extremely expensive in order to capture the demand, maybe introduce new customers to fishwife sardines. We did make that choice many, many times over for many retailers. And it's just been. So much demand for the sardines that we just haven't seen go down. I think the crazy thing is we also saw this huge trend around sardines also kicking up at the same time. So I was going to say in the course of my due diligence for this podcast, I went on the Can Sardines subreddit, a very active subreddit. And there were a few people complaining about.

they couldn't find sardines that they're like local trader Joe's or anything like that. And there were a bunch of posts also extolling the health benefits of sardines and making me think that maybe I need to try them. No, I think just from a health perspective, canned fish is just like a great way to get some protein. I put it in salads. I'll like put cantuna in a salad or something like that. I'm a big advocate. First of all, I find it interesting that actually people evidently are, they won't start doing so bad, they're willing to like trade up. So like some like market goes away and then they'll like go to the premium. But I want to talk a little bit more about like, you know, when I think of the DTC brands that truly like grew up in the age of like the golden

age of Instagram, like the 2010s, you know, it seemed like the big opportunity was find a product that's very expensive.

Let's say like a Warby Parker, you know, you don't really need to pay 350 for a pair of Luxottica glasses. We could build this for 20. We'll spend 10 on advertising and then we'll sell the product for 100. I'm just making up these numbers and then. we make 70 in profit. And it feels like there were just tons of companies and they came out of business school and stuff like that. And they all identified all of these opportunities to find something that was premium and then like make a commodified version, cut out the middlemen, do some good branding, make it a little glossy, put it on Instagram, et cetera. It feels like this is the kind of the exact opposite where you have to invent a new category that doesn't really exist. Is this in part just like a function of like the changing I'm interested like the media marketplace such as that playbook, like now if you started the Warby Parker rather than paying 20 for the Instagram ad, you'd pay 79 and left with a dollar margin or something like that. And that you actually have to like do something totally different in order to build a DTC brand in the 2020s. Yeah. I mean, to be clear, DTC makes up about 20% of our business. So it is, it is the minority channel for us, even though it is incredibly incredibly important for Fishwave, but it's certainly not the business that we're like building our economics around. You know, food businesses you're going to build in retail like that is where the volume is. That being said, I think, I mean, doesn't totally answer your question, but like people want really quality products and people are willing to pay for them. I think that's what we've seen. I think it's some crazy stat like 50% of the spending right now is being done by like I don't know, like 5% of our population. It's not crazy like that. People are willing to pay for a much higher quality product. First of all, I think a lot of us were honestly burned with some of those DTC brands where they're touting themselves as a lower cost but equally high quality version as the sort of traditional, like whatever, lake or whatever.

And maybe that didn't turn out to be the case for a lot of them. I know I bought a bed frame from one of these companies, and by God, it was the worst 800 I ever spent. Can I just make a plug for a brand, though? I was just like, they did something good. And so I just feel like 10 or 11 years ago, we bought an away suitcase. And it started breaking down recently,

and the zipper broke. They replaced it for free. And so like even I was 10 years old so I was like a pretty like I think it was probably a marginally less quality product than whatever the incumbent suitcase company was at the time but they but I was pretty surprised they actually uh replaced a broken suitcase. I'm right there with you. I own three away suitcases and they're amazing. There's exceptions to the rule every time and I think with with fish wife it's like no we're selling a super high quality product made by multi-generational European Family owned canneries like it just is as good as it should be and needs to be and we're not like doing any highfalutin New Age stuff. I'm attracted to that I think other people are attracted to that just knowing like this truly is the just the highest quality product We're not we're not cutting corners here to make a cheaper cheaper product Hi, I'm Barry Rithaltz, inviting you to join me for the Masters in Business podcast. Every week, we bring you conversations with the people who shape markets, investing, and business. I speak with CEOs, Nobel laureates, market innovators, and legendary investors. Whether you own stocks, bonds, real estate commodities, even crypto, these are discussions you absolutely need to hear.

Subscribe to the Masters in Business podcast on Apple Spotify or anywhere you listen. Joe, you should make a way pay for their advertising. I know it was such a free giveaway, but it did happen. Away from personal brand preferences and just going back to the sardines for a second. So there are a bunch of different themes or keywords that I hear here. So one is more demand for sardines. Sardines are... having a moment of the other one is climate change. And we talked about the shortage of plankton due to potentially warmer waters. We've also been hearing about overfishing for ages and ages and ages. And you often see these competing headlines where people say the world's fish population is in danger and then two months later it's like, oh no, we figured out more sustainable ways of fishing and this demand or the supply is resilient and all of that. When you look at the Sardine shortage, which of those factors matters the most to you in the current moment? I think as a headline, the frustrating thing about seafood sustainability is that it is endlessly nuanced and it's changing constantly.

So even with this sardine, the Moroccan sardine situation, they started to see a decline in the catch in 2023. It was about, it was down about 46%.

That's only three years ago. Like fisheries science moves somewhat slowly doing assessments of fisheries takes a really long time. So TLDR. Everything that's being talked about all of the theories that you mentioned Tracy are just that their theories and they're also like contributing Factors to you know a much bigger picture that probably all of them are contributing not a single one and it's hard to tell to what degree you just contributing so I'll like speak to you of these these theories that are that are currently in the conversation Sure, so the first this seems most likely is climate change generally so There are warming waters in the Mid-Atlantic that forage fish like sardines like anchovies like mackerel are very, very sensitive to water changes. So when the water temperature changes, they are likely to migrate to colder waters. So it might not even be that there are less sardines. It might simply be that the sardines have migrated somewhere that the commercial fishermen Have a lot of difficulty accessing it could be deeper in the water it could be further in the water They are just they're they're in a new location and it's not where where the fishermen are used to catching So that seems to be the most likely theory warmer waters can also trigger like unexpected changes in in the food web obviously everything in the ocean is connected and when you know water temperature changes it can mean also they're more predators that are actively catching, fishing, fishing in the area. So like you said, Tracy, humans are not the only ones that are catching sardines. So are tuna and other fish. So there might just be more active predators in the area. There's also the plankton theory, which I think a lot of people are writing about, which is that the warmer water has triggered maybe less or less nutrient dense.

fatty caloric. I hate a skinny plankton. I know. I absolutely hate when you get served on those. But those can lead to leaner, less fatty sardines, which are the ones that folks are looking to catch. So there are all these factors in combination, definitely all tied up in climate change, hard to know which is contributing the most. I think one thing that's interesting in this circumstance is from what I can tell, like overfishing is not the main culprit. So I mentioned MSC earlier, that is, you know, the certifying body that we most lean on and look to. The Monterey Bay Aquarium Seafood Watch, a bit of a mouthful. They're also a very globally respected certifying body and they're the ones that have given, I think this fishery currently has a yellow rating, which is not bad, but basically in their assessment is that the fishery

is being well regulated, strong enforcement is in place, which leads me to believe that it's less of an overfishing and more of a climate climate issue. I think one thing that's really, really important to highlight is that when you see, you know, this is not a fishery shutdown situation. This is a like, you know, frozen sardine export ban situation.

But when you do see, you know, a market being capped on a fishery, it seems a little bit scary, but that's actual responsible fisheries management in practice. That means that, you know, everyone's coming together and saying, hey, we're not seeing the amount of fish that we expected to see or not seeing the size of fish that we expected to find. We need to shut down the fishing season. and allow the fishery to repopulate itself. And I think the amazing thing is there are so, so many examples of there being, you know, decline in catch, fisheries shutting down for between like three to five years. And in the span of that time, fully becoming certified sustainable again, aka able to fully repopulate and sustain themself year over year. So I think that's really important for people to understand is like, don't freak out.

when you see when you see those empty shelves, like be happy that like people are putting these restrictions into place. Do you get inbound business inquiries from companies that are probably marginally or somewhat below your standards like canneries in China, etc. Or there's like, look, you can say you like your inbox flooded with different B2B suppliers at different parts of the supply chain offering yourself. Definitely. More like my LinkedIn is flooded with that. I feel like somehow they're still not getting my email by and large, or maybe they're going straight to my spam. But yes, I don't spend that much time looking at them if I'm being honest. What's happened to your own Sardine pricing in this environment? Because as I understand it, you have this premium product, which already is at a higher price point than some other equivalents. Does it go up further if people are, you know, struggling to find tin cans on the shelves of Trader Joe's or something like that? I do think that we expect our our certain prices to go up. It's like an active conversation. Again, all this is happening so quickly. But I think we can only assume that we will see and we will see prices go up as as the two fisheries that we're sourcing from become more and more competitive. Then the other thing I want to ask, again, as a non-fish lover, will fish consumers, do they trade to other types of fish if they

can't get sardines? Yes, thank you. I don't know if I have really good data to share on it, but we are definitely seeing folks come in, in retail, online, starting with one species, and then over time, expanding to the rest of ours. It's a really good question. I would say maybe not anchovies, because anchovies generally aren't looked at as the protein replacement in your meal, but between sardines, mackerel, tuna, salmon, trout. We're definitely seeing trading between species. Obviously, to maintain a sort of valuable brand, you have to maintain the brand itself. Here is a question I've always wanted to ask someone this, you know, we live in this age of brand collabs, right? It'll be like, Oh, like Lulu lemon is dropping a new limited edition with like Kraft Heinz, macaroni and cheese, like, you know, yoga gear, like limited supply. Yeah. So like, I know you've like done some, you know, with like the olive oil company, etc.

Our brand collabs really brand collabs like okay, we're gonna send three employees of yours and three of we're gonna figure something out or it's like someone comes up with an idea and someone else writes a check and then they like co-brand a post on Instagram. Oh my gosh, they're so the former. I've never done anything like what you're describing with the second. I'm like to my detriment, these collabs are like so, so, so in depth and spend so many months on them. Yeah, we're about to have two huge collabs come out. One is coming out. Tomorrow, with Whole Foods, we're doing a collaborative series of totes, which they've never done with any brand before. They were no dollars exchanged. We've been working on it for, you know, six months. And we're about to have, I can share another one. It comes out after August 11th. Like these collabs are so not pay to play in any way at all. Like our Fly by Jing product collab, which is a very popular one. It's just, you know, we buy there.

sauce at a wholesale price. We put it in our products and like that's it. It's just super clean classic ingredient purchasing. Then the other brand related question I have rather than take DTC to describe the broader thing is like DeNovo brands, right? Coming out of nowhere, et cetera. And so, you know, over the years, I think the ones that grew up in the 2010s like paid an increasing like Instagram tax, right? To maintain that brand. I noticed on your website, you actually have a thing where influencers can email they're

like, Oh, and like, I will post about fish wife and then you like arrange some deal with them. Is that there are so many influencers out there?

and there's so many wannabe influencers. Do you feel that from your perspective you have good options or are the influencers that you actually want to work with because they're aligned with your aesthetic and brand? Do they grow and grow their capacity to like, is there a real scarcity of the types of influencers that you would actually want to work with rather than just ones that have a high follower count? I don't feel there is scarcity at all. I think Fish White has a unique relationship with the influencer landscape because we really don't do any pay to play. Like every once in a while we'll have an influencer make some content and obviously we're going to compensate them for their content and then add a bump on top for their audience if it's like a collaborative post. But like we really have done it less than 10 times in our life. So I think, you know.

we're lucky because you do have like you have this affiliate program thing on your website that it says get paid when you share about fish wife that's the you know commission based program different than a flat fee like i think basically to pay influencers flat fees to post on their instagram they're can be truly astronomical rates. I've been quoted 40,000, 30,000 for someone with, let's say, 800,000 followers. We simply can't afford that. So we have this affiliate program. Influencers are in commission, something that we have always invested in, seeding, making sure that we're getting product in their hands. But yeah, there is usually between a commission-based program and paying a flat fee, which A lot of them are very, very high. Just going back to the supply chain for a second. So packaging is obviously very important to fishwife. You've got the branding aspect, but you also have the tins themselves. Everything's coming in a tin. Have you been impacted at all in recent months by, you know, tariffs on things like aluminum packaging and stuff like that?

The tariffs on aluminum packaging, we haven't seen directly impact our business. First of all, we're not taking ownership of those. Our cannery is by the tins. And we haven't seen a meaningful increase. We've seen it in the course of our five years of being business that tin prices have gone up or aluminum prices have gone up. But as of late, especially in regards to

tariffs, that has not been the biggest hit. We have had tariffs applied to the products that we're importing. from Europe. Those have an impact on the business and are not ideal. Europe has a 15% tariff right now that was put in place in April 2025 and it sucks. It's like millions and millions of dollars. We got refunded a million and a half dollars last month, which was great. I showed up in the bank account. But now you'll have new tariffs. We now have new tariffs and now a million and a half is not even, you know.

It's a percentage of what we have paid in tariffs. We've always dealt with tariffs. There has been a 35% import duty on tuna packed in olive oil since we started importing that product, and the tariffs don't stack. For example, our tuna in olive oil, when the tariff curtain fell, we didn't experience incremental tariffs. But no, it sucks. It definitely hits gross margin. It just feels really stupid. So I wish that we didn't have to pay those millions. I got a tariff refund recently, which I didn't really understand because I thought only businesses were receiving them, but I got it for like 7.14. That's fantastic. Congratulations. Yeah, thanks. Thanks. You create a new category, at least in the US, right? You create this new category of premium tinned fish. And then others, and I think you sort of alluded to this, then others discover it. You might get other startups. Or I could imagine, but I actually didn't do any research on this particular question. I could imagine that what you might get, and I think you see this is...

you have some existing company that is known for their commodity version and then they'll come up with their equivalent of like the Starbucks reserve and they'll make a label that's probably like kind of a knockoff of a you know a fish wife label or something similar or other company will expand will do a tin fish line they'll see the opportunity that you have found and I'm curious like you mentioned that there was a fair degree of slack in some of these cannery Canary is in, say, 2021, where they're not doing three shifts a day, seven days a week. Do you see your demand aside more scarcity at the canary level from companies, essentially one way or another, trying to get a share of your market? I would see where we're seeing scarcity mostly because of the volume from Fishwife. Oh, interesting. Not a brag, but growing so much so quickly, that's what we're seeing.

you know, sort of constraints is that we're taking up so much more canning line than we thought we would be and they thought we would be in the span of two years. Yeah, I think it's we are lucky to have established like a couple modes. I think people are willing to pay for fish right because it is a really, really high quality product. And because we have been able to tell the story of why it is a high quality product over the past five and a half years. We built the brand online, which hadn't never happened in the canvish category before. So it's a big leap to pay what you have to pay for a fish rife product and to earn that pricing power. I think it's very challenging to be quite honest and takes a ton of brand building work. Like, yes, the product has to taste truly amazing to get people to buy it and come back and come back and come back.

that brand building work is very difficult to replicate. And then I think as you're seeing here, like you have to be extremely agile on your feet in terms of supply chain. Like it is not, no business is easy to run, no global supply chain is easy to run and definitely seafood is not. So, you know, we've seen new entrants come into the category, but honestly, in terms of like categories that clearly have heat, I would say ours has had less meaningful new entrants than many. Sorry one more sourcing question and again as a non-fish person I don't really get a lot of these distinctions, but I'm looking at some of your smoked salmon Smoked salmon with fly by jing chili crisp, which sounds it sounds good It says that the salmon comes from its farm salmon not wild caught How do you make a decision between wild caught and farmed and what are the?

distinctions. I never really understood this. I would say it started as a little bit of a happenstance of trying to figure out supply chain. And I really, really struggled to stand up a wild Alaskan salmon supply chain. I just like could not get in touch with the canneries I would get in touch with one like one supplier, one other supplier, and they were sourcing different species of salmon and they didn't want to didn't want them to mix. Like I could not figure out how to scale it. From salmon makes up between 70 to 80% of the salmon that we're eating globally, like if you're eating salmon, odds are you're eating farm salmon. It is a much, much more manageable supply chain. First of all, there's so much of it, and it freezes really well, it travels really, really well, and you are not having to deal with seasonal purchasing,

which as you can imagine, you know, it can necessitate the outlay of enormous amounts of cash.

with farms they are producing throughout the year, harvesting throughout the year. So it's a much, is a much less lumpy cash outlay, which makes it just a much easier supply chain to navigate. There are fluctuations in pricing for farms I'm in for sure, but slightly less volatile than wild. I think we're going to leave it there. But thank you so much for answering all of our fish related questions, Becca. Really appreciate it. It's really a pleasure to really, really get into it. I appreciate the opportunity. So there's a lot to pick out from that conversation. I mean, I hadn't, again, I don't think about salmon. that often but I hadn't realized that yeah if you're if you're doing wild caught salmon and you can only buy at certain times of the year then you are going to lay out like a huge amount of money because everyone's trying to do the same thing at the same time. No it totally makes sense that it would be as the tech exists to farm salmon that that would be a lot more appealing and you get all kinds of stability and stuff like that I don't I really enjoyed that conversation there's so many like interesting strands there I think it's interesting that like So you see a headline like the catch in Morocco is down significantly. And we might not actually fully have the answers that people are trying to piece together. Oh, maybe it's something to do with the plankton. Maybe it's something to do with overfishing. Maybe it's something to do with water, temperature, et cetera.

that we don't really know. Well, I also find the connection there really interesting because like, OK, something might be happening in the waters off of Morocco. Maybe they're warming up. Maybe the plankton aren't as fat or as bountiful as they used to be. But suddenly that becomes not just Morocco's problem, but another country's problem in the form of Spain. So it seems like the Moroccan Sardine export ban is now becoming a diplomatic issue with the Spanish, because now there are attempts to get. for Spain to take Morocco to the negotiating table and actually get them to like call off the export ban. Yeah, it's wild. And the fact that like there is actually quite a big market for trading ups. I mean, I guess like if you need sardine, you need sardine and another fish isn't going to work. And so the idea that like, OK, now there is suddenly, you know, even if it's like a very

different supply chain at first, that the impairment of the sort of commodity supply chain will invariably affect the premium.

Supply chain I honestly think the trading up phenomenon when it comes to food inflation is a real thing Yeah, so you know people are thinking well if I'm gonna have to pay 20 for a pack of ground beef I might as well spend 30 and get some steaks or something like that in fact I had that conversation with a woman and a supermarket the other day also Can I just say I know I just spent the whole episode talking about how I don't like fish. Yes, but I was at a dinner party last weekend and a former teak wood supplier who we should get on the podcast. He's now an organic farmer. He made candied salmon. Oh, yeah. And it was so good. I've never had it before. And it was actually delicious. And I ate the whole thing. No, that is that's really tasty. Yeah, that's a good entree and to like maybe more exploration on your part. Well, no, I mean, there's all kinds of fish that theoretically you might like a lot of stuff. I like sea urchin. I love raw sea urchin. I love oysters. I love a lot of that stuff. But I don't know, just like cooked fish. Anyway.

She'll leave it there. Let's see if it there. This has been another episode of the All Thoughts podcast. I'm Tracy Allaway. You can follow me at Tracy Allaway. And I'm Joe Wiesenthal. You can follow me at the stalwart. Follow Becca Milstein on Instagram at bbmilstein. Follow our producers, Kerman Rodriguez at Kerman Armand Dashel Bennett at Dash Bot. Kale Brooks at Kale Brooks and Kevin Lozano at Kevin Lloyd Lozano. And for more OddLots content, you should check out our daily newsletter. You can find that at Bloomberg.com forward slash OddLots. And you can chat about all of these topics 24-7 in our discord, discord.gg slash OddLots. And if you enjoy odd thoughts, if you want to see us do more food episodes or even more seafood episodes, then please leave us a positive review on your favorite podcast platform. And remember, if you are a Bloomberg subscriber, you can listen to all of our episodes absolutely ad free. All you need to do is find the Bloomberg channel on Apple podcasts and follow the instructions there. Thanks for listening.

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